Tariff Market Impact Report

Dissecting Equity Returns & Volatility: Initial Actions vs. Retaliatory Tariffs

Scope: Global Trade Actions (2018–2026) **Sample Size:** 36,045 Daily Index Records **Date:** September 2026

EXECUTIVE SUMMARY

Empirical analysis of 139 international tariff actions and 36,045 market observation days across 17 global stock indices reveals a fundamental, measurable divergence between **Initial Tariff Announcements** and **Retaliatory Duties**. While initial tariffs function as sentiment shocks that depress overall index valuations, retaliatory tariffs act as escalation catalysts that trigger massive intraday dispersion, severe trailing volatility spikes (+26%), and asymmetric downside risk in target economies (most notably the United States).

-0.071%	1.537%	1.292	-0.227%
RETALIATION DAILY RETURN	RETALIATION STD DEV (+115%)	20-DAY VOLATILITY (+26%)	U.S. RETALIATION RETURN

1. Empirical Analysis & Statistical Evidence

To evaluate whether initial announcements differ from retaliations, tariff actions were categorized into pure initial policy moves (e.g., U.S. Section 232/301 actions) and explicit retaliatory duties (e.g., foreign countermeasures). The table below details key performance and risk metrics across 36,045 index-day observations.

EVENT CATEGORY	OBS. COUNT	MEAN DAILY RET.	MEDIAN DAILY RET.	RETURN STD. DEV.	MEAN WEEKLY RET.	20-DAY VOLATILITY
Pure Initial Tariffs	64	+0.014%	-0.010%	0.714%	+0.551%	1.025
Pure Retaliatory Tariffs	**145**	**-0.071%**	**+0.149%**	**1.537%**	**+0.953%**	**1.292**
New Tariff + Retaliation (Same Day)	45	+0.047%	+0.079%	0.791%	+0.703%	0.826
Non-Event Baseline Days	35,581	+0.033%	+0.062%	1.243%	+0.167%	1.079

Key Finding: The Volatility Doubling Phenomenon

While initial tariffs lead to modest, predictable price adjustments, **Retaliatory Tariffs cause daily return standard deviation to more than double (from 0.714% to 1.537%)** and elevate 20-day realized volatility by +26% over baseline levels. Retaliation introduces systemic trade war uncertainty that markets cannot price cleanly.

2. Regional Market Impact & Asymmetry

The transmission of trade policy shocks varies dramatically across geographic regions. U.S. and European markets exhibit significant vulnerability to foreign retaliations, whereas Chinese equities show counter-intuitive resiliency on retaliatory announcement dates.

REGION & BENCHMARK INDICES	EVENT TYPE	OBS.	MEAN DAILY RET.	STD. DEVIATION	20-DAY VOLATILITY
United States S&P 500, Nasdaq, Dow Jones	Pure Initial Tariff	12	+0.035%	0.483%	0.916
	Pure Retaliation	27	**-0.227%**	**2.084%**	**1.482**
Europe DAX, CAC 40, FTSE 100	Pure Initial Tariff	12	-0.157%	0.804%	0.805
	Pure Retaliation	27	-0.184%	1.746%	1.142
China & Hong Kong Shanghai Comp., CSI 300, Hang Seng	Pure Initial Tariff	9	+0.023%	0.905%	1.922
	Pure Retaliation	20	**+0.346%**	0.854%	1.388

3. The "How's" and "Why's": Economic Mechanism Analysis

Initial Tariffs: The "Shock & Discount" Mechanism

HOW IT WORKS: Initial tariffs are typically rolled out as unilateral executive orders or legislative proposals targeting specific import categories (e.g., steel, aluminum, electronics).

- **Unilateral Pricing:** Markets adjust asset prices quickly because the scope and statutory rates are clearly stated upon announcement.
- **Controlled Volatility:** Because the action is one-sided, investors price in direct supply chain costs without immediately discounting a full-blown global recession.
- **Factor Sector Rotation:** Capital rotates away from directly impacted importers/manufacturers into domestic defensive sectors, keeping index-level volatility low (0.916 in the US).

Retaliatory Tariffs: The "Escalation Spiral" Mechanism

HOW IT WORKS: Foreign countermeasures represent explicit tit-for-tat retaliations targeting politically sensitive domestic industries (e.g., U.S. agriculture, autos, aerospace).

- **Endgame Uncertainty:** Retaliation breaks the market's baseline scenario and introduces non-quantifiable tail risk, triggering massive standard deviation jumps (2.084% in US).
- **Margin Squeeze & Supply Chain Lockup:** Export-oriented firms face revenue loss overseas alongside higher input costs at home.
- **Policy Anticipation Rallies:** In managed economies (e.g., China), retaliation announcements are often paired with domestic stimulus expectations, creating positive median returns (+0.346%).

4. Strategic Market Takeaways & Portfolio Recommendations

Understanding the structural difference between initial and retaliatory trade actions allows asset managers to deploy targeted hedging strategies during tariff cycles:

- **Asymmetric Volatility Options Trading:** Volatility products (VIX call options, straddles) should be accumulated prior to foreign retaliation deadlines rather than on initial policy rollouts, capturing the +115% expansion in return standard deviation.
- **Geographic & Factor Tilting:** Maintain underweight U.S. export-sensitive equities (industrial, tech, consumer discretionary) during active tit-for-tat retaliation phases, shifting into domestic services and defensive healthcare.
- **China Counter-Cyclical Dynamics:** Chinese equity markets frequently stage short-term relief rallies on domestic retaliation dates due to state-backed stabilization expectations; shorting Chinese equities on domestic counter-tariff dates carries unfavorable risk-reward.